



DAK GURU

GENERAL FINANCIAL RULES, 2017

(Other than Public Procurement)

Brief, Rule-by-Rule Notes — Chapters 1–5 & 9–12
Rules 1–141 and 228–324 (procurement Rules 142–227 excluded)

Base text: Official DoE compilation — GFR 2017 updated up to 31.07.2024
Currency verified against DoE bi-annual compilations up to 31.01.2026

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About These Notes

Format: Each rule is condensed into a brief, plain-language note, with sub-rules as bullet points. Rules marked ▶ (and tagged “Important”) are the high-yield/high-risk ones and carry fuller detail. These are study aids — for exact statutory wording, refer to the bare GFR 2017.

Scope: All non-procurement rules — Chapters 1–5 (Rules 1–141) and Chapters 9–12 (Rules 228–324). Procurement Rules 142–227 are excluded.

Currency (verified): Built from the DoE compilation updated to 31.07.2024. Post-31.07.2024 amendments (Rule 144(xi), Rule 171(i), procurement-limit OM dated 10.07.2024) are in the excluded procurement chapters. The revised New Service/NIS limits (Rule 63) per DEA OM dated 23.02.2024 (adopted 01.04.2024) are already reflected.

Amendment flags: A “◆ amended” mark and an “Amendment:” line show the source OM where a rule was amended in the base text (11 rules, including Rules 28, 117, 133, 141).

Disclaimer: Verify the latest position from doe.gov.in before exam day.

Chapter Map of GFR 2017

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3	Budget Formulation & Implementation	42–70	Covered
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Chapter 1 — Introduction (Rules 1–6)

Rule 1 — Short Title & Commencement

Called General Financial Rules, 2017; in force at once; apply to all Central Govt Ministries/Departments and their attached & subordinate bodies. Apply to Autonomous Bodies too, except where their own Govt-approved Financial Rules provide otherwise.

► Rule 2 — Definitions (Key Terms)

Defines the terms used throughout the Rules. The most exam-relevant:

- Appropriation — assignment of funds in a primary unit of appropriation to meet specified expenditure.
- Competent Authority — the President, or the authority to whom the power is delegated under these Rules / DFPR / other orders.
- Consolidated Fund — the Consolidated Fund of India (Art. 266(1)); Contingency Fund — set up under the Contingency Fund of India Act, 1950 (Art. 267(1)); Public Account — Art. 266(2).
- Controlling Officer — officer responsible for controlling expenditure and/or collecting revenue (includes a Head of Department and an Administrator).
- Drawing & Disbursing Officer (DDO) — a Head of Office or other Gazetted Officer designated to draw bills and make payments.
- Head of Department — an authority not below the rank of Deputy Secretary, declared as such to exercise delegated financial powers.
- Financial Year — 1 April to 31 March; Re-appropriation — transfer of funds from one primary unit of appropriation to another.
- Recurring expenditure — incurred at periodical intervals for the same purpose; all else is non-recurring.
- Two procurement models are also defined: CAPEX (buyer purchases, maintains, then disposes) and OPEX (seller supplies, maintains and takes back; buyer pays in a staggered manner).

Rule 3 — Inter-departmental Consultations

Where a case concerns more than one Department, no order issues until all concur — or, failing concurrence, a decision is taken by/under the Cabinet.

Rule 4 — Departmental Regulations of Financial Character

Any departmental regulation of a financial character (or with important financial bearing) must be made by, or with the approval of, the Ministry of Finance.

Rule 5 — Removal of Doubts

Doubts on interpretation of these Rules are referred to the Ministry of Finance for decision.

Rule 6 — Modifications

- The systems/procedures in these Rules are subject to general or special instructions issued by the Ministry of Finance from time to time.
- They may be modified by any other authority only with the express approval of the Ministry of Finance.

Chapter 2 — General System of Financial Management (Rules 7–41)

A. Receipts of Government (Rules 7–20)

Rule 7 — Receipts into Government Account

All moneys received by/for Government (dues, deposits, remittances) shall be brought into Government Account without delay, per rules under Articles 150 & 283(1).

Rule 8 — Moneys under Article 284 → Public Account

- (1) Moneys received by any Union officer (other than Government revenue), and moneys with the Supreme Court or any court other than a High Court in a UT, are paid into the Public Account.
- (2) The head of account for credit/withdrawal is governed by Government Accounting Rules 1990 and the Central Govt Account (Receipts & Payments) Rules, 1983.

Rule 9 — Duty to Assess & Credit Receipts

The Department must ensure receipts and dues are correctly and promptly assessed, collected and credited to the Consolidated Fund / Public Account.

Rule 10 — Reconciliation of Receipts

Controlling Officer obtains monthly accounts from subordinates and compares them with the credit statements of the Accounts Officer; the Accounts Officer sends a monthly extract of credits to the Controlling Officer.

Rule 11 — Assessment & Receipt Books

- (1) Detailed rules for assessment, collection, remission and abandonment of revenue are laid down in departmental regulations.
- (2) Where officers receive money and issue receipts in Form GAR-6, departmental rules must provide for proper accounting of receipt books and a check of used books.

Rule 12 — Outstanding Dues

Amounts due to Government shall not be left outstanding without sufficient reason; if irrecoverable, competent-authority orders are obtained for adjustment.

Rule 13 — No Credit to Revenue via Suspense

Sums shall not be credited as revenue by debit to a suspense head (unless specially authorised); the credit must follow, not precede, actual realization.

Rule 14 — Keep Finance Ministry Informed

The authority responsible for revenue collection keeps the Finance Ministry fully informed of the progress of collection and of any defects.

Rule 15 — Rents of Buildings & Lands

Where a civil department (other than CPWD) maintains a rentable building, the Head of Department is responsible for due assessment and realization of rent per CPWD-aligned rules.

Rule 16 — Fines

- (1) Every authority empowered to impose/realize a fine must ensure the money is realized, checked and deposited.
- (2) Such authority must check realizations against demand and guard against double refunds.

Rule 17 — Miscellaneous Demands

Accounts Officers watch realization of miscellaneous demands not falling under ordinary revenue administration (e.g. contributions from State Governments, Local Funds, contractors).

Rule 18 — Remission of Revenue

A claim to revenue shall not be remitted or abandoned except with the sanction of the competent authority.

Rule 19 — Annual Statement of Remissions

- (1) Departments/Administrators/Heads of Departments (except Department of Posts) submit, by 1st June each year, a statement of remissions and abandonments of revenue to the Audit & Accounts Officers.
- Individual remissions below ₹1,000 need not be included.

Rule 20 — Rules Defining Remissions

Departments and Administrators may frame rules defining remissions/abandonments of revenue for the purpose of Rule 19.

B. General Principles of Expenditure & Payment (Rules 21–32)

► Rule 21 — Standards of Financial Propriety (High Importance)

Every officer incurring/authorising expenditure must observe high standards of financial propriety, enforce financial order and strict economy, and ensure all financial rules are observed by his own office and subordinate DDOs. The emphasised principles:

- (i) Exercise the same vigilance over public money as a person of ordinary prudence would over his own money.
- (ii) Expenditure should not be prima facie more than the occasion demands.
- (iii) No authority should sanction expenditure that benefits itself directly or indirectly.
- (iv) Public money should not be spent for the benefit of a particular person/section unless (a) the claim is enforceable in a Court of Law, or (b) it is in pursuance of a recognised policy or custom.

Rule 22 — Expenditure from Public Funds

No authority may incur expenditure, enter a liability, or transfer money from public funds (Consolidated/Contingency Fund & Public Account) without competent-authority sanction.

Rule 23 — Delegation of Financial Powers

Government's financial powers are delegated to subordinate authorities via the Delegation of Financial Powers Rules (DFPR); powers not delegated vest in the Finance Ministry.

Rule 24 — Consultation with Financial Advisers

All draft EFC/PIB/CEE/CCEA/Cabinet memoranda are circulated after consultation with the concerned Financial Adviser, and a confirmation to that effect is included.

Rule 25 — Provision of Funds for Sanction

- (1) All sanctions to expenditure must indicate the provision in the relevant grant/appropriation from which it is met.
- (2) A sanction issued before funds are communicated must be made subject to budget provision.

Rule 26 — Responsibility of Controlling Officer

The Controlling Officer must ensure that expenditure: (i) does not exceed the budget allocation; (ii) is for the sanctioned purpose; (iii) is in public interest; and (iv) has a control mechanism to prevent/detect errors and guard against waste and loss.

Rule 27 — Date of Effect of Sanction

- (1) Rules, sanctions and orders take effect from the date of issue unless otherwise specified.
- (2) Temporary-post creation orders specify the date of creation and the sanctioned duration.

Rule 28 — Powers in Regard to Certain Special Matters ♦ *amended*

Without the prior consent of the Finance Ministry, a subordinate authority shall not grant land, assign/relinquish revenue, or grant a concession/lease/licence of mineral, forest, water or power rights.

Amendment: Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. 14(37)/2015-E.II.A dated 12.07.2024.

► Rule 29 — Communication of Sanctions (Important)

All financial sanctions/orders of a competent authority are communicated to the Audit Officer and Accounts Officer. The procedure (clauses i–xii), in brief:

- (i) Sanctions on which the Accounts Officer makes/authorises payment are addressed to him; (ii) all other sanctions are issued as an Order (not addressed to anyone) with a copy endorsed to the Accounts Officer.
- (iii) For non-recurring expenditure, sanction may be accorded by signing/countersigning the bill or voucher (before or after drawal), instead of a separate sanction.
- (iv) Sanctions with IFW/Finance concurrence are communicated per the DFPR procedure.
- (v) Sanctions issued with the concurrence of MHA / C&AG / DoPT must say so, citing the number and date of that concurrence.
- (vi) Orders sanctioning a definite amount/limit express it in both words and figures.
- (vii) HoD sanctions may be conveyed by an authorised Gazetted Officer signing for the HoD.

- (viii) Additions to pay (Special Allowance, Personal Pay) carry a brief reason so the AO can verify the classification.
- (xi) Routine sanctions need NOT be endorsed to Audit — employee advances; appointment/promotion/transfer; creation/continuation/abolition of posts; handing/taking over charge; GPF advances; contingent expenditure under Head of Office powers; and routine sanctions of subordinate heads.
- (xii) Grants of land / alienation of land revenue are reported to Audit/Accounts in a consolidated monthly return.

► **Rule 30 — Lapse of Sanctions (Important)**

A sanction for a fresh charge lapses, unless specifically renewed, if no payment (whole or part) is made within twelve months from the date of issue. Three provisos:

- (i) If the sanction/departmental regulation prescribes a currency period, it lapses on expiry of that period.
- (ii) If the sanction specifies the expenditure is met from a particular financial year's budget, it lapses at the close of that year.
- (iii) For purchase of stores, the sanction does NOT lapse if tenders are accepted (local/direct purchase) or the indent is placed on the Central Purchase Organization (central purchase) within one year of issue — even if payment is not yet made.

Rule 31 — Sanctions That Do Not Lapse

Year-to-year additions to a permanent establishment under a general scheme, and allowances sanctioned but not drawn, do not lapse.

Rule 32 — Remission of Disallowances & Write-off

Remission of audit disallowances and writing-off of overpayments to Government servants are governed by the DFPR.

C. Defalcation & Losses (Rules 33–38)

► **Rule 33 — Report of Losses (Important)**

Any loss/shortage of public money, departmental revenue, stamps, opium, stores or property — whatever the cause or manner of detection — is reported immediately by the subordinate authority to the next higher authority, the Statutory Audit Officer and the Principal Accounts Officer, even if already made good. Detail:

- (1) Need NOT be reported: revenue losses from (a) assessment mistakes found too late for a supplementary claim, (b) under-assessments where the law's interpretation was overruled after the time-limit, (c) refunds allowed as time-barred; and petty losses up to ₹10,000.
- (2) Serious irregularities go to the FA / Chief Accounting Authority and the CGA.
- (3) Two-stage reporting — an initial report as soon as a loss is suspected; a final report after investigation, stating the nature/extent of loss, the rules breached and recovery prospects.
- (4) The complete report reaches the HoD, who disposes of it under delegated powers; what he cannot dispose of goes to the Finance Ministry.
- (5) An amount lost by misappropriation/defalcation/embezzlement may be redrawn on a simple receipt pending investigation/recovery/write-off, with the write-off authority's approval.
- (6) Loss from a servant's culpability is borne by the Department/State concerned; cash recoveries are credited to whoever sustained the loss.
- (7) Losses from irregular cheques or irregular accounting of receipts are reported to the CGA to remedy defects in rules/procedures.

Rule 34 — Loss by Fire, Theft, Fraud

For material loss/destruction by fire, theft or fraud, departmental officers take the additional action prescribed (over and above Rule 33).

Rule 35 — Loss of Immovable Property

All loss of immovable property exceeding ₹50,000 (buildings, works, etc.) by fire, flood, cyclone, earthquake or other natural cause is reported as prescribed.

Rule 36 — Report to Audit & Accounts Officers

After a full enquiry into cause and extent, a detailed report is sent through the proper channel to Government and the Audit/Accounts Officers.

Rule 37 — Responsibility for Losses

An officer is personally responsible for any loss caused by his fraud or negligence; instructions for fixing responsibility are in Appendix 1.

Rule 38 — Prompt Disposal of Loss Cases

Action at each stage — detection, reporting, write-off, action against delinquents and remedial measures — must be completed promptly.

D. Audit & Contracts — General (Rules 39–41)

Rule 39 — Demand for Information by Audit/Accounts

A subordinate authority affords all reasonable facilities to the Audit Officer and PAO and furnishes the fullest possible information for their functions.

Rule 40 — No Withholding of Documents

A subordinate authority shall not withhold any information, books or documents required by the Audit/Accounts Officer.

Rule 41 — Secret / Top Secret Files

A 'Secret' or 'Top Secret' file may be sent personally to the Head of the Audit Office, who deals with it under standing instructions.

Chapter 3 — Budget Formulation & Implementation (Rules 42–70)

A. Budget — Preparation & Presentation (Rules 42–56)

Rule 42 — Financial Year

1st April to 31st March of the following year.

► Rule 43 — Presentation of Budget to Parliament

- (1) Under Article 112, the Finance Minister lays the Annual Financial Statement (the 'Budget') — estimated receipts and expenditure for the year — before both Houses, before the year begins.
- (2) Railway receipts/expenditure form part of the Government's; with the merger of the Railway Budget into the General Budget, the Railway Demands and SBE are part of the General Budget from 2017-18.
- (3) The constitutional basis is Articles 112–116.
- (4) The MoF (Budget Division) issues budget-preparation guidelines, which all Ministries must follow fully.

Rule 44 — Contents of the Budget

The Budget contains estimates of all revenues, expenditure for each programme/scheme/project, interest and debt-servicing/repayments, and other prescribed information.

Rule 45 — Receipt Estimates

Detailed receipt estimates are prepared Major-Head-wise with the Minor/Sub/Detailed break-up and three years' actuals; significant variations are explained.

Rule 46 — Non-Tax Revenues

Tax revenue, non-debt capital receipts and borrowings are managed by Finance Ministry Departments; non-tax revenues are collected through all Ministries/Departments and autonomous bodies.

► Rule 47 — User Charges

User charges are an important non-tax revenue. Each Ministry identifies and publishes its user charges on its website. Principles for fixing them:

- (i) They must recover the current cost of providing the service with a reasonable return on capital investment.

- (ii) Any deviation (charges below cost-recovery) is specifically recorded with justifying reasons.
- (iii) They are linked to appropriate price indices and reviewed at least every three years.
- (iv) To allow easy revision, they are fixed wherever possible through Rules or executive orders, not by statute.

Rule 48 — Dividends and Profits

Dividends/profits (including RBI surplus) are a major non-tax revenue; CPSE dividends must be paid promptly within an appropriate time and per DIPAM guidelines.

Rule 49 — Receipts Portal

Non-tax revenues (fees, user charges) are collected online through the e-Receipts portal; Ministries must migrate promptly for convenience and efficiency.

► **Rule 50 — Expenditure Estimates**

- (1) Estimates separately show Charged expenditure (Art. 112(3)) and Voted expenditure (Art. 113(2)).
- (2) They distinguish Revenue from Capital, including loans by Government, repayment of loans, treasury/cash-management bills and ways-and-means advances.
- (3) Detailed estimates are prepared up to the final unit of appropriation (Object head), with provision for previous years' liabilities to be discharged in the year.
- (4) Scheme-related estimates are processed in consultation with the Budget Division.
- (5) Revised and Budget Estimates, scrutinised by the FA and approved by the Secretary, are sent to the Budget Division in the prescribed form.

► **Rule 51 — Demands for Grants**

- (1) Voted expenditure is presented as a Demand for Grants.
- (2) Generally one Demand per Ministry/Department (large ones may have more); each Demand normally covers revenue expenditure, capital expenditure, grants to States/UTs and loans/advances for the service.

- (3) Presented at two levels — the main Demands by the MoF (Budget Division) with the AFS, and the Detailed Demands for Grants laid before the Departmentally-Related Standing Committee (DRSC) by the concerned Ministry.

Rule 52 — Form of AFS & Demands for Grants

- (1) The form is laid down by the Finance Ministry; no change of arrangement/classification without its approval.
- Detailed Demands for Grants are laid before the Departmentally-Related Standing Committee (DRSC).

Rule 53 — Acceptance & Inclusion of Estimates

Estimates of each Ministry are scrutinised in the Budget Division; Secretary (Expenditure) may hold pre-budget meetings with Secretaries/FAs.

Rule 54 — Outcome Budget

The Department of Expenditure, with NITI Aayog and concerned Ministries, prepares an Outcome Budget linking scheme outlays to measurable outputs/outcomes.

Rule 55 — Vote on Account

If the Appropriation Bill is likely to pass after the year begins, an interim grant (Vote on Account) under Article 116 meets expenditure in the meantime.

Rule 56 — Communication & Distribution of Grants

After the Appropriation Act, the Finance Ministry communicates grants to Ministries, who distribute them to subordinate formations.

B. Control of Expenditure (Rules 57–70)

Rule 57 — Responsibility for Control of Expenditure

- (1) Departments control expenditure against sanctioned grants through Heads of Departments and Controlling Officers.
- Expenditure must be evenly paced through the year (avoiding a rush in March); registers in Form GFR 5 and broadsheet in Form GFR 9 are maintained.

Rule 58 — Liability Register

To control expenditure, the Controlling Officer obtains monthly liability statements (Form GFR 3A) from spending authorities, from October each year.

Rule 59 — Personal Attention of HoD

The HoD/Controlling Officer must estimate likely savings or excesses every month and regularize them per instructions.

Rule 60 — Control Against Grant

The Accounts Officer reports to the HoD immediately on the first appearance of any disproportionate expenditure, especially recurring expenditure.

Rule 61 — Excess Expenditure

- No payment in excess of budget provision is allowed without the Chief Accounting Authority's specific approval.
- FAs and the Chief Accounting Authority assess the need before concurring in excess expenditure.

Rule 62 — Surrender of Savings

- (1) Departments surrender anticipated savings to the Finance Ministry by the prescribed dates before year-end.
- Rush of expenditure in the closing month/quarter is treated as irregular.

► Rule 63 — Expenditure on New Service / NIS (Important)

No expenditure on a 'New Service' not contemplated in the Annual Budget without first obtaining a supplementary grant/appropriation or an advance from the Contingency Fund during that year.

- The guidelines to determine 'New Service' / 'New Instrument of Service' cases are in Annexure-1 to Appendix-3.
- Currency note: the NS/NIS financial limits were revised by DEA (Budget Division) OM dated 23.02.2024, adopted into Annexure-I of Appendix-3 by DoE OM dated 01.04.2024 (superseding the 2006 limits) — already reflected in the 31.07.2024 base text. Verify the exact slab figures from that OM before quoting an amount.

Rule 64 — Additional Allotment for Excess

- (1) The authority incurring expenditure must not exceed its allotment; where excess is apprehended, it obtains additional allotment first (maintaining a Liability Register in Form GFR 3).

- (2) A Disbursing Officer may not, on his own authority, pay in excess of funds; he takes the administrative authority's orders, which then provides funds by re-appropriation, supplementary grant or Contingency Fund advance.

► **Rule 65 — Re-appropriation of Funds (Important)**

- (1) Re-appropriation — transfer of funds from one primary unit of appropriation (the Object head) to another within a grant/appropriation — may be sanctioned by a competent authority any time before the year closes (subject to Rule 10, DFPR, and Finance Ministry restrictions).
- (2) Made only when it is known/anticipated that the unit from which funds are taken will not be fully used, or that savings can be effected there.
- (3) Funds shall NOT be re-appropriated from a unit intending to restore it later from other savings.
- (4) The application is supported by a statement in Form GFR 1; the order must state the reasons for any saving and excess of ₹1 lakh or more and the primary/secondary units affected; a copy of the order is endorsed to the Accounts Officer.
- Bar: re-appropriation cannot be from Voted to Charged (or vice versa), nor to a New Service/NIS, nor to meet expenditure not sanctioned.

► **Rule 66 — Supplementary Grants**

If savings are not available within the grant to which payment is to be debited, or the expenditure is on a New Service/NIS not in the budget, a Supplementary Grant or Appropriation under Article 115(1) must be obtained before payment is authorised (see Appendix 5).

► **Rule 67 — Advance from Contingency Fund (Important)** ♦ *amended*

- (1) For unforeseen expenditure in excess of the sanctioned grant, or on a new service not in the budget, when there is not enough time to pass the supplementary appropriation before year-end, an advance from the Contingency Fund (Art. 267(1)) is taken BEFORE incurring it.
- (2) Also obtained to meet expenditure exceeding a Vote-on-Account provision.
- (3) The application states the additional expenditure and the sub-head/primary unit to which it relates; doubts are referred to the Finance Ministry.

- (4) The procedure for the advance and recoupment follows the Contingency Fund of India (Amendment) Rules, 2021 (notified by G.S.R. 721(E) dated 04.10.2021; Appendix-6).

Amendment: Inserted vide DoE's OM No.8(18)/2021/E.II.A dated 06.05.2022 | Note: in view of DEA OM F.No.4(13)-B(SD)/2021 dated 18.04.2022.

Rule 68 — Inevitable Payments

- (i) Money indisputably payable shall not ordinarily be left unpaid (subject to Art. 114(3)).
- (ii) Provision for anticipated liabilities must be made in the Demands for Grants.

Rule 69 — Pre-check of Bills

An extract of the Accounts Office procedure for checking bills against provision of funds is at Appendix 10.

► Rule 70 — Duties of the Chief Accounting Authority (Important)

The Secretary of a Ministry/Department is its Chief Accounting Authority, who shall:

- (i) be responsible and accountable for the Ministry's financial management;
- (ii) ensure appropriated funds are used for their intended purpose;
- (iii) ensure effective, efficient, economical and transparent use of resources while meeting performance standards;
- (iv) appear before the Public Accounts Committee and other Parliamentary Committees;
- (v) regularly review and monitor performance of programmes/projects;
- (vi) prepare the expenditure and other statements required by the MoF;
- (vii) ensure full and proper records and internal controls at all times;
- (viii) ensure the Government procurement procedure is followed fairly, transparently, competitively and cost-effectively;
- (ix) take steps to collect all moneys due and avoid unauthorised, irregular and wasteful expenditure.

Chapter 4 — Government Accounts (Rules 71–129)

A. General Principles of Accounts (Rules 71–97)

Rule 71 — Preparation & Presentation of Accounts

Union Government accounts are prepared every year by the CGA showing receipts, disbursements, surplus/deficit and changes in liabilities and assets.

Rule 72 — Form of Accounts

Under Article 150, accounts are kept in the form the President prescribes on the advice of the C&AG; the CGA in the Finance Ministry maintains the structure.

Rule 73 — Principles of Accounting

Main principles are in the Government Accounting Rules 1990, Accounting Rules for Treasuries, and Account Code Volume-III.

Rule 74 — Cash-based Accounting

Government accounts are kept on a cash basis, except for book adjustments authorised under the Government Accounting Rules 1990.

Rule 75 — Period of Accounts

Annual accounts record transactions during the financial year (1 April to 31 March).

Rule 76 — Currency of Accounts

Accounts are maintained in Indian Rupees; foreign-currency transactions and aid are accounted for after conversion to rupees.

► Rule 77 — Main Divisions & Structure of Accounts

Accounts are kept in three parts:

- Part-I Consolidated Fund — has a Revenue division (Receipt Heads and Expenditure Heads on Revenue Account) and a Capital division (Receipt Heads, Expenditure Heads on Capital Account, and 'Public Debt, Loans and Advances'). These are grouped into sectors (General Services, Social & Community Services, Economic Services, etc.) represented by Major Heads.
- Part-II Contingency Fund — records transactions of the Contingency Fund (Art. 267); a single Major Head followed by Minor/Sub/Detailed Heads.

- Part-III Public Account — records debt (other than in Part-I), reserve funds, deposits, advances, suspense, remittances and cash balances.

► **Rule 78 — Classification of Transactions (Six-Tier)**

Classification refers to the functions, programmes, activities and object of revenue/expenditure rather than the department in which it occurs. The structure:

- Major Head (with Sub-Major Heads where needed) → corresponds to a function of Government;
- Minor Head → the programme to achieve the function's objective;
- Sub Head → schemes; Detailed Head → sub-schemes;
- Object Head → the primary unit of appropriation showing the economic nature of expenditure (salaries, office expenses, travel, professional services, grants-in-aid, etc.).
- These six tiers are represented by a unique 15-digit numeric code.

Rule 79 — Authority to Open a New Head of Account

The Finance Ministry (CGA) maintains the List of Major/Minor Heads and opens new heads on the advice of the C&AG.

Rule 80 — Conformity of Budget Heads

Budget heads in estimates and appropriation orders must conform to the prescribed rules of classification.

Rule 81 — Responsibility of Departmental Officers

Every officer collecting dues or spending money must keep proper accounts in the prescribed form and render them as required.

Rule 82 — Classification on Bills & Challans

Drawing officers record the correct classification on all bills and on challans crediting money into the bank.

► **Rule 83 — Charged or Voted Expenditure**

Expenditure under Article 112(3) is Charged on the Consolidated Fund and is not subject to vote by the legislature; all other expenditure from the Fund is Voted. Both are shown separately in the accounts and the Budget documents.

► **Rule 84 — Capital or Revenue Expenditure**

Capital expenditure — significant expenditure to acquire permanent tangible assets (for use, not sale) or to enhance the utility of existing assets. Revenue expenditure — subsequent maintenance, repair, upkeep, working expenses and day-to-day running costs (including establishment and administration). The two are shown separately in the Accounts.

Rule 85 — Banking Arrangements

The RBI is the banker to Government, maintaining its cash balance and providing banking through its own and agency-bank offices.

► **Rule 86 — Public Financial Management System (PFMS)**

- (1) PFMS (the CGA's integrated system) is used for sanction preparation, bill processing, payment, receipt management, DBT, fund-flow management and financial reporting.
- (2) Ministries sanctioning grants-in-aid register all implementing agencies (to the last level) on PFMS to track fund flow and unspent balances.
- (3) Payments are released 'just-in-time' through PFMS to the extent possible.
- (4) The approved Detailed Demand for Grants is uploaded on PFMS at the start of each year.
- (5) All re-appropriation and surrender orders are generated through PFMS.
- (6) All grantee institutions submit Utilization Certificates on PFMS.

► **Rule 87 — Direct Benefit Transfer (DBT)**

- (1) Benefits are transferred directly to beneficiaries using ICT, with process re-engineering to cut intermediary levels, reduce delay and minimise pilferage/duplication.
- (2) DBT covers in-kind and cash transfers, including honorariums to scheme enablers (e.g. community workers).
- (3) Cash benefits flow (a) directly from Ministries, (b) through the State Treasury Account, or (c) through an appointed Implementing Agency.
- (5) Payments are processed on the PFMS platform per the DoE framework.
- (6) Implementing agencies generate Electronic Utilisation Certificates (e-UCs) on PFMS, removing the need for physical UCs.

- (7) Transaction charges to financial intermediaries are paid as stipulated by the MoF.

Rule 88 — Appropriation Accounts

Appropriation Accounts of Central Ministries (other than Railways) and Civil Departments (excluding Posts and Defence) are prepared by their Principal Accounts Officers.

Rule 89 — Finance Accounts

Annual Finance Accounts of the Government of India, showing receipts and disbursements under the respective heads, are prepared each year.

Rule 90 — Presentation of Annual Accounts

Appropriation and Finance Accounts are prepared on dates agreed with the C&AG, in the President-prescribed forms.

Rule 91 — Financial Stakes in PPPs / JVs

Where Ministries/PSUs/bodies have financial stakes in PPPs, Production Sharing Contracts, Joint Ventures or subsidiaries, details of the stake must be recorded and disclosed.

Rule 92 — Subsidiary Accounts of Commercial Activities

Where a Government Department works on a commercial/quasi-commercial basis (e.g. a factory or store) that cannot be brought within cash accounting, subsidiary accounts in commercial form are kept.

Rule 93 — Methods for Subsidiary Accounts

The methods/principles for keeping subsidiary and proforma commercial accounts are regulated by Government orders issued on the advice of the C&AG.

Rule 94 — Accuracy of Cost

Where commercial accounts assess the cost of an article/service, the Head of the unit ensures adequate regulations so the cost deduced is accurate and true.

Rule 95 — Submission of Subsidiary Accounts

The Head of the unit obtains Government orders on the form of subsidiary accounts and submits them as prescribed.

Rule 96 — Personal Deposit (PD) Account

A PD Account lets a Designated Officer credit receipts into, and withdraw directly from, the account, subject to an overall bank check.

Rule 97 — Authority to Open a PD Account

- (1) A PD Account is opened by special order of the Ministry/Department in consultation with the CGA.
- PD accounts are generally closed at the end of the financial year where prescribed.

B. Capital & Revenue, Interest, Adjustments (Rules 98–129)**Rule 98 — Capital Expenditure**

Significant expenditure to acquire permanent tangible assets, or enhance existing assets, is Capital; running and maintenance costs are Revenue. Capital expenditure is generally met from capital receipts, and shown separately in accounts only when expressly authorised.

Rule 99 — Allocation between Capital & Revenue

- (a) Capital bears the first construction/equipment cost and intermediate maintenance before a work opens, plus additions that enhance the asset's life.
- (b) Revenue bears subsequent maintenance and working expenses.
- (c) For renewals/replacements (part capital, part revenue), Revenue funds replacement of wastage/depreciation, while only genuine life-enhancing improvements are charged to Capital.

Rule 100 — Allocation on a Capital Scheme

For a Capital Scheme with separate Capital and Revenue accounts, allocation is determined by general/special Government orders, consistent with Rule 99.

Rule 101 — Capital Receipts During Construction

Capital receipts relating to expenditure previously debited to Capital, accruing during construction, are used to reduce capital expenditure.

Rule 102 — Recoveries of Capital Expenditure

Recoveries representing expenditure previously debited to a Capital Major Head are taken in reduction of that expenditure.

Rule 103 — Conversion of Loans into Equity / Grants

Government may convert outstanding loans to PSEs into equity or grants-in-aid to strengthen their capital base and performance.

Rule 104 — Interest Rate on Commercial Departments

Interest at the prescribed rate is charged in the accounts of Commercial Departments/units that keep separate capital and revenue accounts (except where special orders apply).

Rule 105 — Interest on Capital from Specific Loans

- (1) For capital outlay met from specific Government loans, interest is charged at the rate Government prescribes, having regard to the borrowing rate.

Rule 106 — Method of Calculating Interest

Interest is calculated on the direct capital outlay at end of the previous year plus half the outlay of the current year, regardless of how the outlay was financed.

Rule 107 — Writing Back Capitalised Interest

Where interest during construction is temporarily met from capital, the writing-back of capitalised interest forms the first charge on revenue once the project earns.

Rule 108 — Adjustments with State Governments

Financial transactions with State Governments are adjusted as agreed / as Government directs, subject to the Constitution and law.

Rule 109 — Re-audit

By convention, a period of three years is accepted for the re-audit of past transactions involving classification errors.

Rule 110 — When Adjustment Necessary

Adjustment is always made (unless otherwise agreed) where a commercial department/store section is concerned, or where a rule/order requires it.

Rule 111 — Petty & Isolated Claims

Under reciprocal arrangements, the Central and State Governments do not raise petty and isolated claims for services rendered not exceeding the prescribed amount.

Rule 112 — Criteria for Reciprocal Arrangement

A claim is covered by the reciprocal arrangement only if it is both petty and of an isolated, non-recurring character.

Rule 113 — Projects Jointly Executed by States

Where a project is jointly executed and shared in agreed proportions but incurred initially by one Government, the others' shares are adjusted accordingly.

Rule 114 — Claims for Agency Functions

State claims for the extra cost of agency functions under Article 258 are settled per the directions issued by Government.

Rule 115 — Principles for Article 258(3) Claims

Sets out principles for dealing with State claims under Article 258(3) — e.g. where the agency work uses a State Commercial Department.

Rule 116 — Transactions for Agency Functions

Lays down the procedure for transactions arising from agency functions entrusted to State Governments under Article 258.

Rule 117 — Crucial Date for Inter-Governmental Adjustments ♦ *amended*

Inter-Governmental adjustments may be carried out up to 10th April (or the date specified by the CGA in consultation with RBI), on which the RBI books close for March; every effort is made to settle State-Government transactions before year-end.

Amendment: Inserted vide DoE ID No. TA-2-03001/(03)/1/2022-TAII(e10997)/52 dated 18.01.2024.

Rule 118 — Adjustments with Foreign Governments / Bodies

Services are not rendered to a foreign Government or non-Government body except on payment, unless Government exempts them by order.

Rule 119 — Recoveries for Services to Non-Govt Parties

Recoveries for services/supplies to non-Government parties or other Governments are classified as reduction of expenditure, in all cases.

Rule 120 — Recoveries as an Agent

Where Government acts merely as an agent of a private body, the entire cost is recovered so the net cost to Government is nil.

Rule 121 — Relief Through Grant-in-Aid

Any relief on payment for services/supplies to an outside body is ordinarily given through a grant-in-aid, not by remission of dues.

Rule 122 — Boundary Maintenance Charges

The incidence of charges for maintenance, demarcation and boundary disputes between India and a foreign country is regulated by stated principles.

Rule 123 — Inter-Departmental Adjustments

A Service Department does not charge other Departments for services within its normal duties, except as expressly provided.

Rule 124 — Division into Service & Commercial Departments

For inter-departmental payments, Departments are divided into Service Departments and Commercial Departments per stated criteria.

Rule 125 — Period for Preferment of Claims

Inter-departmental claims are ordinarily preferred within the same financial year and not beyond three years from the date of transaction.

Rule 126 — Settlement of Inter-Departmental Adjustments

Settlement is regulated by Chapter 4 of the Government Accounting Rules, 1990.

Rule 127 — Adjustments in the Account Year

Inter-departmental and other adjustments are not made in the past year's accounts if they could not have been made in time.

Rule 128 — Pensionary Charges of Commercial Departments

The pensionary liability of commercial departments (with proforma accounts) is assessed on a contribution basis at the prescribed rate.

Rule 129 — Pensionary Liability of Commercial Undertakings

For Departments/Undertakings declared commercial, pensionary liability is adjusted in the regular accounts by charging the average/prescribed rate.

Chapter 5 — Works (Rules 130–141)

Rule 130 — Definitions — Works

- Original works — all new constructions, site preparation, additions/alterations, special repairs adding value (incl. remodeling/replacement).
- Minor works — add capital value but do not create a new asset.
- Repair works — for maintenance and upkeep.

Rule 131 — Administrative Control of Works

- (i) Full responsibility for construction, maintenance and upkeep;
- (ii) Proper utilization of buildings and allied works;
- (iii) Provision of funds for these functions.

Rule 132 — Powers to Sanction Works

Powers to accord administrative approval, sanction expenditure and re-appropriate funds for works are regulated by the DFPR and related orders.

► Rule 133 — Execution of Works (Important) ♦ *amended*

- (1) A Ministry/Department may directly execute repair works estimated up to ₹60 lakh, following the procedure in Rules 139, 159 & 160.
- (2) It may assign repair works above ₹60 lakh, and original/minor works of any value, to a Public Works Organisation (CPWD, State PWD, MES, BRO, or the construction wings of Railways, Defence, Environment & Forests, I&B, Posts, Space, etc.).
- (3) Alternatively, it may award repair works above ₹60 lakh and original works of any value to (i) a PSU set up for civil/electrical works, or (ii) another Central/State organisation/PSU notified by MoHUA after evaluating financial strength and technical competence — ensuring competition among them on lump-sum service charges; nomination basis only in exceptional cases (Rule 194 conditions apply).
- Note: Scientific Ministries/Departments may assign repair works up to ₹5 crore on nomination basis (special provision; was applicable up to 31.03.2025, thereafter subject to DoE review for further extension).

Amendment: Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. F.1/3/2024-PPD dated 10.07.2024. | Amended vide DoE OM No. F. 1/3/2024-PPD dated 10.07.2024. | Inserted vide DoE OM No. F.20/42/2021-PPD dated 20.05.2024.

Rule 134 — Works Under PWD Control

Works not allotted to any Ministry are included in the Grants for Civil Works administered by CPWD; no such work is financed partly from one source and partly another without sanction.

Rule 135 — General Rules for Works

- (1) Initiation, authorization and execution of works follow detailed departmental rules (including Rule 144).
- (2) The Ministry/Department puts in place the prescribed preliminary works (estimates, drawings, schedules).

Rule 136 — Pre-conditions to Commence Work

- (i) Administrative approval obtained;
- (ii) Expenditure sanction obtained;
- (iii) Proper provision of funds;
- (2) On grounds of urgency, work may begin with subsequent regularisation.

Rule 137 — Group of Works as One Project

A group of works forming one project is treated as one work for approval/sanction; higher-authority approval must not be avoided by splitting.

Rule 138 — Savings Not for New Work

Anticipated/actual savings from a sanctioned estimate shall not, without special authority, be applied to additional work not in the original project.

► Rule 139 — Procedure for Execution of Works (Important)

Broad procedure for works executed under a Ministry's own arrangements:

- (i) Detailed procedure is prescribed by departmental regulations framed with the Accounts Officer, based on CPWD principles.
- (ii) Detailed design and estimates precede any sanction.
- (iii) No work is undertaken before Administrative Approval and Expenditure Sanction by the competent authority on the basis of the estimates.
- (iv) Open tenders for works costing ₹10 lakh to ₹60 lakh;
- (v) limited tenders for works costing less than ₹10 lakh;
- (vi) the contract agreement / award of work is executed before work commences;

- (vii) final payment is made only on the Officer-in-charge's personal certificate that the work is per the contract specifications and the workmanship is up to industry standards.

Rule 140 — Approval & Sanction for Works

For original/minor and repair works entrusted under Rule 133(2)/(3), administrative approval, expenditure sanction and fund allotment are accorded by the concerned authority per the DFPR.

► **Rule 141 — Review of Projects (Important)** ♦ *amended*

For a project costing ₹100 crore or above, the Administrative Ministry sets up a Review Committee — a representative each from the Administrative Ministry, the Internal Finance Wing and the Executing Agency — to review progress. The Committee may accept variation within 10% of the approved estimate. For works below ₹100 crore, the Ministry sets up a suitable review mechanism, again within the 10% variation limit.

***Amendment:** Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. F.1/3/2024-PPD dated 10.07.2024.*

Chapter 9 — Grants-in-Aid and Loans (Rules 228–263)

Section I — Grants-in-Aid (Rules 228–245)

► Rule 228 — To Whom Grants-in-Aid May Be Given

As a general principle, GIA (including scholarships) may be sanctioned by an authority competent under the DFPR to a person/public body/institution with a distinct legal entity, namely:

- (a) Autonomous Organisations set up under a statute or registered as a society (Societies Registration Act 1860 / Indian Trusts Act 1882, etc.);
- (b) Voluntary organisations / NGOs promoting Government welfare schemes (selected on well-defined criteria of resources, credibility and activities);
- (c) Educational and other institutions, by way of scholarships/stipends;
- (d) Urban and rural local self-government institutions;
- (e) Co-operative societies;
- (f) Societies/clubs of Government servants for social, cultural and sports activities.

Rule 229 — Setting Up Autonomous Organisations

- (i) No new autonomous institution is created by a Ministry/Department without Cabinet approval.
- (ii) No new autonomous institution is created by an Autonomous Body itself without the appraisal/approval process applying.
- An autonomous body is set up only where the objective cannot be met through Government's own machinery.

► Rule 230 — Principles & Procedure for Award of GIA (High Importance)

Governs how grants-in-aid are applied for, sanctioned and released. Key sub-rules:

- (1) The institution applies with full information (Articles of Association, bye-laws, audited accounts, sources/pattern of income & expenditure), spelling out the need and certifying it has not sought the same grant from another Ministry/State.
- (2) To avoid duplication, each Ministry maintains and publishes (on its website) a list of grantee institutions with amounts and purposes.

- (3) Grants are considered only on viable, specific schemes with quantified targets; reimbursement-basis grants are treated as Central Financial Assistance (CFA), needing no UC.
- (4) Every sanction states whether the grant is recurring or non-recurring, the object, and (for non-recurring) the time-limit to spend — this classification drives the UC regime under Rule 238.
- (5) Central Autonomous Organisations account for capital and revenue expenditure separately, in the MoF standard formats.
- (7) Unspent balances: for recurring grants to the same body for the same purpose, the previous grant's unspent balance is taken into account; the Programme Division checks the recipient's bank balance on PFMS before each release; cash balance preferably not more than 3 months' requirement; 'just-in-time' release applied.
- (8) Interest/earnings on grant funds (other than reimbursement) are mandatorily remitted to the Consolidated Fund of India after accounts are finalised — not adjusted against future releases.
- (9) Assets acquired wholly/substantially from grants are not disposed of without the sanctioning authority's prior approval.
- (10) The last instalment is released only on reasonable evidence of proper use of earlier ones; CFA is released in one instalment against audited proof, with no UC.
- (15) GIA may meet bona fide expenditure incurred not earlier than two years before the sanction date.
- (16) The condition for refund of unutilised grant with interest is stated clearly in the sanction and the bond.
- (17) Bodies with 20+ regular staff drawing 50%+ recurring expenditure from Central grants, and registered societies/co-operatives getting ₹20 lakh+ general-purpose annual grant, must provide SC/ST/OBC reservation.

► **Rule 231 — GIA to Voluntary Organisations**

- (1) GIA towards administrative expenditure may be sanctioned to voluntary organisations — but it should not exceed 25% of the approved administrative expenditure on pay and allowances; such grants to other private institutions are not ordinarily sanctioned (exceptional cases need IFW consultation).
- (2) Before release, the Executive Committee members execute a Bond binding themselves jointly and severally to abide by the conditions, not divert the grant or

sub-contract the work, and refund the grant with 10% p.a. interest on breach (stamp duty borne by Government).

- (3) The Bond requirement does not apply to Quasi-Government Institutions, Central Autonomous Organisations, or institutions whose budget is approved by Government.

Rule 232 — GIA for Centrally Sponsored Schemes

Sets out principles Ministries follow when designing Centrally Sponsored Schemes for States/UTs and releasing assistance for them.

Rule 233 — Funding of Sponsored Projects/Schemes

For projects sponsored at Universities, IITs and bodies like ICAR/CSIR/ICMR in national interest, Government normally bears the full cost; the treatment of resulting assets (retain or sell) is specified.

Rule 234 — Register of Grants ♦ *amended*

The sanctioning authority maintains a Register of Grants in Form GFR-21, filling columns (i)–(v) when each grant is sanctioned and using the data to regulate subsequent grants.

Amendment: Inserted vide DoE OM No. F.No. 8(1)/2021-E.IIA dated 03.09.2021.

Rule 235 — Accounts of Grantee Institutions

Grantee institutions — whatever the amount — maintain subsidiary accounts of the Government grant and furnish audited statements after utilisation.

► Rule 236 — Audit of Accounts of Grantee Institutions

- (1) Grantee accounts are open to inspection by the sanctioning authority and to audit by the C&AG (CAG(DPC) Act 1971) and internal audit by the PAO — a clause to this effect is always included in the sanction.
- (2)(i) The C&AG audits under Section 14 if grants/loans in a year are $\geq ₹25$ lakh AND $\geq 75\%$ of total expenditure, or if grants/loans are $\geq ₹1$ crore; once so audited, the C&AG continues for a further two years even if the conditions cease.
- (2)(ii) For purpose-specific grants/loans, the C&AG may scrutinise (Section 15(1)) how the sanctioning authority satisfied itself on conditions, with right of access to books.
- (3) In all other cases, the institution gets its accounts audited by Chartered Accountants of its own choice.

- (4) Where the C&AG is the sole auditor, audit charges are payable in full by the auditee unless waived by Government.

Rule 237 — Time Schedule for Annual Accounts

Prescribes the dates for grantee bodies to submit annual accounts for audit (and issue of the Audit Certificate by the C&AG) and for laying the report/accounts before Parliament.

► Rule 238 — Utilization Certificates — recurring vs non-recurring (High Importance / Audit Trap) ♦ amended

The UC regime differs sharply by grant type; the recurring/non-recurring classification fixed at sanction (Rule 230(4)) decides which applies. Misclassification leads to suspension of further releases.

- (1) Non-recurring grants: a UC of actual utilisation in Form GFR 12-A is insisted on in the sanction, submitted within 12 months of the close of the financial year; it discloses whether quantified/qualitative targets were met (output-based assessment); non-submission can lead to blacklisting from future grants.
- (2) Recurring grants: the next year's grant is released only after a provisional UC of the preceding year; release beyond 75% of the next year's sanction requires the UC AND the annual audited statement of the preceding year; internal-audit and IA&AD inspection reports and performance reports are also considered. (Scientific Departments: subsequent grants may be released on a UC confirming 75% utilisation of the previous grant.)
- (3) No UC where the grant/CFA is a reimbursement of already-incurred, duly audited expenditure — the sanction letter must say so clearly.
- (4) For Central Autonomous Organisations, the UC separately discloses amounts given to suppliers/construction agencies/staff (HBA, conveyance) that are pending adjustment — treated as unutilised grants carried forward and accounted in the next year.
- (5)–(6) Annual reports/audited accounts of voluntary organisations receiving large recurring grants (₹50 lakh+) or one-time/non-recurring grants (₹5 crore+) are laid before Parliament within nine months of the year's close.

Amendment: Inserted vide DoE OM No. F.No. 1(10)/E.IIA/2015 dated 31.07.2017. | Inserted vide DoE OM No. F.No.8(5)/2020-E.IIA dated 09.10.2020

Rule 239 — State UC for Scheme Grants

Where Central grants go to a State for a Central Scheme, the State submits a UC in Form GFR 12-C.

Rule 240 — UC via Local Bodies

Where Central grants to a State are spent through local bodies/private institutions, UCs are obtained from them.

Rule 241 — UC under Direct Benefit Transfer

For DBT schemes (fund flow directly to beneficiaries), the bank/NPCI intimation of credit serves the purpose.

Rule 242 — Performance Parameters ♦ *amended*

- (1) Clear performance parameters are set for oversight of the Autonomous Body.
- (2) Grantee institutions submit Achievement-cum-Performance Reports.

Amendment: Inserted vide DoE OM No. F.No.8(5)/2020-E.IIA Dated 09.10.2020

Rule 243 — Discretionary Grants

Discretionary Grants are regulated by general/special orders specifying the object and conditions; they must be non-recurring and create no future commitment.

Rule 244 — Other Grants

Grants, subventions, etc. (including to States) not covered above are made under special Government orders.

Rule 245 — Recurring GIA for Employee Welfare

Recurring GIA for staff amenities, recreation or welfare is regulated by Ministry of Home Affairs orders; admissibility is judged accordingly.

Section II — Loans (Rules 246–263)**Rule 246 — Application of the Section**

These loan rules are observed by all authorities competent to sanction loans to State/UT Governments, local bodies, foreign Governments (on State recommendation), Government institutions and other bodies.

Rule 247 — Powers & Procedure for Sanction of Loans

Powers of Departments/Administrators/subordinate authorities to sanction loans are in the DFPR and related orders.

Rule 248 — Certificate in Loan Sanctions

A loan sanction under the DFPR includes a certificate that it conforms to the delegated powers.

Rule 249 — Terms & Conditions of Loans

- (1) All loan sanctions are subject to the DFPR and specify repayment and interest terms.
- (2) Borrowers adhere to the terms and conditions.

► Rule 250 — General Conditions Regulating Loans

All loans are regulated by these general conditions:

- (i) A specific, as-short-as-possible term is fixed for full repayment with interest (extendable to 30 years only in very special cases).
- (ii) The term runs from the date the loan is fully drawn or declared closed.
- (iii) Repayment is by instalments, ordinarily annual, with prescribed due dates.
- (iv) An instalment paid early is applied to principal only if accompanied by interest to date; otherwise it is first adjusted to interest, then principal. If paid 14 days or less before the due date, interest for the full period is still payable.
- (v) If a due date falls on a Sunday/public holiday, payment on the next working day counts as on-time (except a 31st-March due date, where the immediately preceding working day is used).
- (viii) The PAO/PAO issues a notice in Form GFR 19 about a month before the due date (to loanees other than State/UT Governments); omission of notice does not exempt the loanee from default consequences.
- (2)–(3) Before lending to private institutions, the lender examines financial health and managerial ability; loan applicants furnish 3 years' accounts, repayment sources, security (with independent valuation), and details of existing loans; security must be at least 33⅓% above the loan.

► Rule 251 — Interest on Loans

- (1) Interest is charged at the rate Government prescribes for the loan or class of loans.
- (2) A loan bears interest for the day of payment but NOT for the day of repayment; interest for a part-year = $(\text{number of days} \times \text{yearly rate}) \div 365$ (366 in a leap year), unless another method is prescribed.

Rule 252 — Recovery & Moratorium

Recovery of loans and interest follows Finance Ministry instructions; a moratorium period may be allowed, with repayment ordinarily in equal annual instalments of principal.

Rule 253 — Loans to States/UTs, Bodies, PSUs

Loans are ordinarily sanctioned at the normal prescribed interest rate for the category of borrower; concessional rates only with justification.

Rule 254 — Undertaking from Government Companies

For loans to wholly-owned Government Companies, a written undertaking is obtained that fixed assets will not be hypothecated without prior Government approval.

Rule 255 — Security for Other Loans

Loans to parties other than States, wholly-owned Government Companies and UT administrations are sanctioned only against adequate security — ordinarily at least 33⅓% more than the loan.

Rule 256 — Submission of UC for Loans

Where conditions attach to the use of a loan (object or time), a Utilization Certificate, reports and statements are submitted as required.

Rule 257 — Instalments of Loans

Each instalment of a loan drawn in instalments is treated as a separate loan for repayment of principal and interest (except where instalments are consolidated).

Rule 258 — Defaults in Payment

- (1) Loan sanctions/agreements include provision for penal interest on default;
- Defaults attract action per the prescribed procedure on receipt of the default report.

Rule 259 — Irrecoverable Loans

A competent authority, with prior Finance Ministry approval, may remit or write off irrecoverable loans.

Rule 260 — Accounts & Control of Loans

The Accounts Officer maintains detailed accounts of loans and watches recovery of principal and interest, per C&AG directions.

Rule 261 — Cost of Audit

The instructions on cost of audit of grants-in-aid apply mutatis mutandis to loans.

Rule 262 — Annual Returns

Each Principal Accounts Officer submits a statement in Form GFR 13 of outstanding Central loans as on 31st March each year.

Rule 263 — Review of Annual Statements

- (1) Administrative Ministries watch receipt of the annual statements in Form GFR 20 and review them closely to enforce repayment of principal and interest due.

Chapter 10 — Budgeting & Accounting of Externally Aided Projects (Rules 264–274)

Rule 264 — Implementation Through External Aid

- (1) Projects implemented through external aid (multilateral/bilateral) are shown in the budget proposals approved annually; DEA is the nodal department.

Rule 265 — Currency of External Aid

Aid flows from the funding agency in foreign currency or rupees, received by RBI Mumbai, which remits the rupee equivalent to the Controller, Aid Accounts & Audit (CAAA), DEA.

Rule 266 — Accounting of Cash Grants

Cash grants (as distinct from commodity/kind assistance) from external sources are accounted for only by the office of the Controller of Aid Accounts & Audit, DEA.

Rule 267 — Procedure for Withdrawal

Ministries provide funds under the head 'External Aided Component' in their Detailed Demands for Grants; withdrawal is by reimbursement (expenditure incurred first, then reimbursed) or direct payment (agency pays the supplier directly).

Rule 268 — Fund Flow for State Projects

- (1) State Departments budget the expenditure under Plan Schemes by the Project Implementing Agencies; aid is routed and consolidated by CAAA.

Rule 269 — Fund Flow for Central / CSS Projects

For Central or Centrally Sponsored projects financed by external aid (loan or grant), the funding-agency disbursement process is the same as in Rule 267.

Rule 270 — Fund Flow for PSU / Financial Institutions

Where the implementing agency is a PSU/Financial Institution/Autonomous Body and the Government of India is the borrower, the Administrative Ministry handles fund flow as prescribed.

Rule 271 — Repayment of Loans

CAAA is responsible for prompt repayment of principal on due dates; foreign-currency remittance is arranged through designated PSU banks and RBI.

Rule 272 — Interest Payments

Interest on external loans is paid on the due date per the agreement, debited to Major Head '2049-Interest Payments' against budget provision.

Rule 273 — Accounting of Exchange Variation

Exchange variation on fully-repaid foreign loans is written off to '8680-Miscellaneous Government Accounts' per the Government Accounting Rules and CGA procedure.

Rule 274 — Aid in Materials & Equipment

Where materials/equipment are received as aid without cash inflow, the funding agency advises the Ministry of the details for valuation and accounting.

Chapter 11 — Government Guarantees (Rules 275–283)

► Rule 275 — Power & Limits on Government Guarantees

- (1) The Union's power to give guarantees flows from Article 292 and is subject to the limits under the FRBM Act and Rules.
- (2) Under the FRBM Act/Rules, the Central Government shall not give guarantees aggregating more than the prescribed amount.
- (3) The power to grant GoI guarantees (including on external borrowings) vests with the Budget Division, DEA.

Rule 276 — Objectives of Guarantees

- (i) Improve viability of projects with significant social/economic benefits;
- (ii) Enable entities to raise resources on better terms / access funds they otherwise could not.

Rule 277 — Guidelines for Grant of Guarantee

A proposal must be justified on merits; guarantees are extended selectively, examined for risk and need, and only where warranted.

Rule 278 — Borrowings from Multilateral Agencies

CPSU borrowings from multilateral agencies are direct (without Government intermediation) on mutually-agreed terms, subject to stated conditions.

► Rule 279 — Levy of Guarantee Fees

- (1) Fee rates are as notified by the Budget Division, DEA (Appendix-12); the fee is levied in ALL cases, including non-fund-based facilities (letters of credit, bank guarantees); doubts on categorisation go to the Budget Division.
- (2) The fee is levied before the guarantee is given and thereafter on 1st April each year, applied on the amount outstanding at the start of the guarantee year.
- (3) If the fee is unpaid on the due date, it is charged at double the normal rate for the default period.
- (4) Government ordinarily guarantees no more than 80% of a project loan (lenders bear at least 20% of net loss on default, to incentivise rigorous risk assessment); 100% may be guaranteed in exceptional cases where the organisation discharges a function on behalf of GoI.

Rule 280 — Execution of Guarantees

Once approved by the Finance Ministry, guarantees are executed and monitored by the Administrative Ministry, which reports status annually.

Rule 281 — Review of Guarantees

- (1) All guarantees are reviewed every year, examining whether the borrower is meeting repayment/interest obligations.

Rule 282 — Accounting for Guarantees

For transparency, Rule 6 of the FRBM Rules 2004 requires Government to publish a disclosure statement on guarantees with the annual accounts.

Rule 283 — Invocation of Guarantee

- (1) A Guarantee Redemption Fund (GRF) in the Public Account redeems guarantees (to CPSEs, FIs, etc.) when invoked; the administrative Ministry honours it and pursues recovery from the principal debtor.

Chapter 12 — Miscellaneous Subjects (Rules 284–324)

I. Establishment (Rules 284–288)

Rule 284 — Additions to Establishment

- (1) Proposals for additions to establishment go to the sanctioning authority per Department of Expenditure instructions;
- (2) Proposals for creation/continuation of posts follow the prescribed procedure and DFPR.

Rule 285 — Digitised Service Matters

All service matters from entry to exit — leave, transfer, promotion, performance appraisal — are maintained in digitised format.

Rule 286 — Transfer of Charge ♦ *amended*

- (1) A report of transfer of a Gazetted servant in Form GFR 16, signed by the relieved and relieving officers, is sent the same day to the HoD/Controlling Officer.
- A special procedure applies where the transfer involves cash, stores or securities.

Amendment: Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. 14(37)/2015-E.II.A dated 12.07.2024.

► Rule 287 — Date of Birth

At appointment, every person declares the date of birth in the Christian era with documentary proof — a Matriculation Certificate where the prescribed qualification is Matriculation or above; otherwise a Municipal Birth Certificate or a certificate from the recognised school last attended is valid.

► Rule 288 — Service Book

- (1) Maintained per the SRs; verified every year by the Head of Office, who records a 'Service verified from... up to...' certificate.
- (2) Maintained in duplicate — the office keeps the first copy and gives the second to the servant for safe custody (existing staff within 6 months; new appointees within 1 month).
- (3) In January each year the servant hands his copy to the office for updation; it is returned within 30 days.
- (4) A lost servant's copy is replaced on payment of ₹500.

- (5) All Service Books are to be digitised.

II. Limitation for Claims & Refunds of Revenue (Rules 289–301)

Rule 289 — Retrospective Sanction

Where a sanction is given with retrospective effect, the charge does not become due before it is sanctioned; the time-limit runs from the date of sanction.

► Rule 290 — Due Date of TA Claim (Important)

A TA claim falls due for payment on the day after the journey is completed; it must be submitted within 60 days of becoming due, failing which it stands forfeited.

Rule 291 — TA of Retired Servants in Court

Retired servants are eligible for reimbursement of travel for defending themselves in court; the date for reckoning the claim is specified.

Rule 292 — Due Date of LTC Claim

An LTC claim falls due the day after the return journey ends; time-limits for submission (where advance is/is not drawn) are prescribed.

Rule 293 — Due Date of OTA Claim

An overtime-allowance claim falls due on the first day of the month following the month it relates to, and stands forfeited if not submitted within 60 days.

Rule 294 — Due Date of Withheld Increment

Absent a specific order withholding an increment under FR 24 before its due date, the one-year period is counted from the date it falls due.

► Rule 295 — Arrear Claims (Important)

- (1) An arrear claim preferred within two years of becoming due is settled by the DDO/Accounts Officer after usual checks.
- (2) The date the claim is presented at the disbursing office is the date it is 'preferred'.
- (3) A claim in abeyance beyond two years is investigated by the HoD; if satisfied about genuineness and the reasons for delay, it is paid after usual checks (the HoD may delegate this to the appointing authority).

► **Rule 296 — Time-Barred Claims (Important)**

- (1) A time-barred claim is still entertained where the authority is satisfied the claimant was prevented from claiming in time by causes beyond his control.
- (2) It is paid with the express sanction of Government, issued with the prior consent of the Internal Finance Wing.

Rule 297 — Time-Barred Claims of Non-Servants

Rules 289–296 apply mutatis mutandis to arrear claims preferred against Government by persons not in Government service.

Rule 298 — Retrospective Sanctions

Retrospective effect is not given to sanctions revising pay or granting concessions, except in very special circumstances with prior Finance Ministry consent.

Rule 299 — Currency of PF Sanction

A sanction to a Provident Fund advance / non-refundable withdrawal lapses, unless renewed, on the expiry of three months (with stated exceptions).

Rule 300 — Sanctions of Refunds of Revenue

All sanctions to refunds of revenue are regulated by the orders of the Administrator/departmental authority per the departmental manuals.

Rule 301 — Communication of Refund Sanctions

- (1) A refund sanction may be given on the bill or quoted with a certified copy attached;
- (2) A suitable note of refund is made in the original record to prevent a double refund.

III. Compensation, Public Debt & Provident Funds (Rules 302–305)

Rule 302 — Compensation for Accidental Loss

No compensation for accidental loss of an officer's property is paid except with Finance Ministry approval, and not ordinarily for loss not connected with official duty.

Rule 303 — Public Debt

Public debt raised by issue of securities is managed by the Reserve Bank, which also manages securities under other laws that so provide.

Rule 304 — Provident Funds

- (1) Recovery of subscriptions to, and withdrawals from, Provident Funds follows the respective PF Rules and the prescribed instructions.

Rule 305 — PLI Premia Register

- (1) Drawing officers maintain a record of PLI policy holders in Form GFR 20;
- (2) The register is kept up to date with policy details and recoveries.

IV. Security Deposits (Rules 306–308)**► Rule 306 — Furnishing of Security**

- (1) Every Government servant who handles cash or stores furnishes security, in the amount and form the competent authority prescribes, and executes a security bond.
- (2) The amount is based on actual cash handled (excluding account-payee cheques and drafts).
- (3) Security is furnished as a Fidelity Bond in Form GFR 17, with the security bond in Form GFR 14; the servant keeps the bond alive by paying premia (failing which he cannot perform the post's duties).
- (4) A servant officiating against another cash/store-handling post furnishes the full prescribed security — though a permanent servant in a short-term vacancy (not exceeding four months) may be exempted if there is no risk.

Rule 307 — Exemption from Security

Security need not be furnished where the stores held are not considerable, or in other specified cases (e.g. certain librarians, drivers).

► Rule 308 — Retention of Security

A security deposit taken from a Government servant is retained for at least six months from the date he vacates the post; a security bond is retained permanently, or until it is certain there is no further need for it.

V. Transfer of Land & Buildings (Rules 309–311)**Rule 309 — No Sale of Government Land Without Sanction**

Save as otherwise provided by law/rule, no Government land (including that of autonomous bodies and PSUs) is sold without prior Government sanction.

Rule 310 — Transfer of Land

- (1) Transfer of land between a UT and a Central Government Department (or vice versa) is on a 'no profit no loss' basis;
- Allotment, valuation and recovery of charges follow the prescribed terms.

Rule 311 — Charitable Endowments & Trusts

Detailed instructions on Charitable Endowments and other Trusts are in Appendix-8.

VI. Local Bodies & Government Companies (Rules 312–319)**Rule 312 — Arrangements with Local Bodies**

- (1) A local body ordinarily pays in advance the estimated charges/cost, unless a specific Government order authorises another arrangement.

Rule 313 — Adjustment of Unpaid Dues

Any amount or loan a local body fails to pay on the due date may be adjusted from any non-statutory grant sanctioned to it.

Rule 314 — Taxes Collected for Local Bodies

Taxes/fines/revenues collected for local bodies are not appropriated directly to a local fund without first passing through the Consolidated Fund.

Rule 315 — Payments to Local Bodies

Payments to local bodies of money raised on their behalf are made in the manner and on the dates authorised by general/special orders.

Rule 316 — Audit of Local Bodies' Accounts

Subject to Article 149, accounts of local and other non-Government bodies are audited by the Indian Audit & Accounts Department on prescribed terms.

Rule 317 — Audit Fees

Audit fees at daily rates (prescribed in consultation with the C&AG) are charged by the IA&AD for the audit of local and other non-Government funds.

Rule 318 — Cost of Supplementary Audit

For Government Companies, the cost of Supplementary Audit under Section 143(6) of the Companies Act 2013 is waived where the C&AG audits through its own staff.

Rule 319 — Rounding Off

Financial transactions between Government and local bodies are rounded off to the nearest rupee.

VII. Maintenance & Destruction of Records (Rule 320)

Rule 320 — Destruction of Records

- (1) No account-connected Government record is destroyed except per Appendix-9 (and departmental rules);
- (2) Records prescribed for permanent retention are not destroyed; required verification/certification is ensured.

VIII. Contingent & Miscellaneous Expenditure (Rules 321–324)

Rule 321 — Contingent Expenditure

Rules on incurring contingent expenditure are in Section III of the Subsidiary Instructions to the Central Government Account (Receipt & Payment) Rules, 2022.

► Rule 322 — Permanent Advance / Imprest

A permanent advance/imprest for day-to-day contingent and emergent expenditure may be granted to a servant by the Head of Department in consultation with the Internal Finance Wing, kept to the minimum needed for smooth functioning; maintenance follows para 10.12 of the Civil Accounts Manual.

► Rule 323 — Advances for Contingent & Misc. Purposes ♦ *amended*

- (1) The Head of Office may sanction an advance to a servant for purchase of goods/services or another special office purpose, subject to: the amount exceeding the available permanent advance; the purchase not being manageable under normal post-payment procedure; the advance not exceeding the Head of Office's delegated power; and the Head of Office being responsible for timely recovery/adjustment.
- (2) The adjustment bill, with any balance, is submitted within fifteen days of drawal, failing which it is recovered from the servant's next salary.

Amendment: Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. 14(37)/2015-E.II.A dated 12.07.2024.

► **Rule 324 — Advance to Government Pleader** ♦ *amended*

A Ministry/Department may sanction an advance to a Government Pleader in law suits to which Government is a party, up to a maximum of ₹25,000 at a time, adjusted when the counsel's fee bill is settled.

- Currency note: the ₹25,000 figure is itself the amount set by the amendment of 12.07.2024 (DoE OM No. 14(37)/2015-E.II.A) — i.e. it is the current post-amendment ceiling, not a superseded one. This is a non-procurement amendment, separate from the 10.07.2024 procurement-limit OM (which did not touch Rule 324).
- Caution for DDOs: ₹25,000 is the GFR ceiling per advance; a Department's own legal-cell circulars or delegation orders may set a narrower internal limit — verify before sanctioning.

***Amendment:** Amended vide Department of Expenditure (DoE), Ministry of Finance (MoF) OM No. 14(37)/2015-E.II.A dated 12.07.2024.*

Red Flags & Compliance Cautions

A few points that commonly trip up DDOs and auditees:

1. Rule 238 — UC timelines: recurring vs non-recurring

The single biggest source of withheld releases. The grant's classification under Rule 230(4) decides everything — get it right at sanction stage.

Aspect	Non-recurring — 238(1)	Recurring — 238(2)
Instrument	UC in Form GFR 12-A	Provisional UC + annual audited statement
Timeline	Within 12 months of close of the FY	Provisional UC of preceding year before next release
Release beyond 75%	n/a (one-time)	Needs UC + audited statement of preceding year
Default consequence	May be blacklisted from future grants	Subsequent release withheld / suspended
Scientific Depts.	—	Further grant on UC confirming 75% utilisation
No UC at all	—	Reimbursement/CFA vs audited accounts (238(3))

2. Rule 324 — ₹25,000 Pleader advance cap

- The ₹25,000 ceiling is the current, post-amendment figure (set by DoE OM No. 14(37)/2015-E.II.A dated 12.07.2024), not a superseded one.
- This is a non-procurement amendment, separate from the 10.07.2024 procurement-limit OM (F.1/3/2024-PPD), which did not touch Rule 324. So the “all limits doubled” note circulating online does not apply here.
- ₹25,000 is the GFR ceiling per advance; a Department's own legal-cell circulars or delegation orders may set a narrower internal limit — verify before sanctioning.

Ready-Reference: Key Numbers

Item	Provision	Rule
Financial Year	1 April – 31 March	42
Lapse of sanction	12 months if no payment	30
Petty loss not reportable	up to ₹10,000	33(1)
Remission not in annual statement	below ₹1,000	19
Re-appropriation – state reasons for	saving/excess of ₹1 lakh or more	65(4)
User charges review	at least every 3 years	47
Re-audit convention	3 years	109
TA claim submission	60 days (else forfeited)	290
Arrear claim settled if within	2 years	295
Security deposit retention	at least 6 months after vacating	308
Direct execution of repair works	up to ₹60 lakh	133(1)
Project Review Committee	project ≥ ₹100 crore; variation within 10%	141
Advance to Government Pleader	up to ₹25,000 at a time	324

Disclaimer: Brief study notes condensed from GFR 2017 (DoE compilation up to 31.07.2024). For statutory action or exam answers, verify exact wording and the latest amendment from the official DoE compilation (doe.gov.in).